

B: You Buy-high: Buy Sensex units worth 1000 each month when the index is at its peak.

C: I Buy on 1st of every month: Buy for 1000 on the first of each month. No clue about the market situation.

Up until Apr. 2017 this is how we'd have fared,

Buy at low points in the month	Buy at high points in the month	Buy on 1st of every month
12.2L @ 12.8% CAGR	11L @ 12% CAGR	11.5L @ 12.3% CAGR

If the effort associated with timing the market monthly was only going to yield 0.7L and 0.5% more over a period of 22 years, I might as well Buy on the 1st without doing any homework. In real time, there are ways to find average lows, but the reward for so much effort is not enticing ^[34]. When you can automate an investment, and obtain 94% of the buy-low value, why put in extra hours hunched over a screen. Because of market movements, sometimes we would buy when the index is lower than it was the last month and sometimes higher. This is the reason the returns of Buy on 1st every month, fell in between Buy-low and Buy-high. The process of buying units of any market-linked product (in this case, an index fund) on the same day is known as dollar cost averaging or systematic investing.

Just as an employer credits the monthly salary after deducting a sum that would be invested in the EPF, equity index fund investing can also be automated by setting up a systematic investment plan (SIP). Here, the fund house would deduct a fixed amount on a particular day of the month, eg. 5th, 15th or 25th until you ask it to stop. You can specify the date and the amounts you'd like to be withdrawn depending on your salary cycle (we saw this in Week 4)

If you are investing in mutual funds for the first time, then the fund house will have to verify your identity and address. These steps are known as Know Your Customer (KYC). The KYC can be applied by visiting the nearest branch of the fund house or their data handling firm - CAMS (in